

dot-com bubble of 1999–2000, and the low-interest-rate, post-economic stimulus stock market of 2021.

Today, business growth may have become more predictable for some companies. Many firms have built what appear to be better mousetraps, high-quality businesses with distinct capabilities that are speedily increasing their market shares. These businesses seem destined to grow well into the future, and investors who won't pay something for that growth may miss out on owning some of the best businesses in the world. Assessing the moats and scalability of such companies has become just as important in ascertaining value today as the reported book value of a company was in Graham and Dodd's time.

My firm's approach to analyzing the value of those businesses we believe are likely to consistently grow involves rigorous fundamental analysis and making conservative projections of future results over the next two to three years, then comparing the multiple of those cash flows to today's share price. If the multiple of near-future earnings is reasonable (i.e., significantly less than today's market multiple and no higher than low double-digits), then the downside is probably limited even if the rate of growth ultimately slows. Broadly speaking, we aim to earn for all our investments an internal rate of return, modeled under conservative assumptions, in at least the mid-teens, a level high enough to result in a margin of safety for our capital. Investments with lower prospective returns are not sufficiently mispriced to attract our interest.

MAINTAINING A LONG-TERM HORIZON: THE DIFFERENCE BETWEEN INVESTMENT AND SPECULATION

Far too many people buy stocks wanting to make money quickly. But reliable investment returns cannot be earned this way; value investing works only when allowed the fullness of time. In the short run, any security can trade at any price. If your goal is to make a quick buck,